



“While a BC (Business Correspondent) may continue to represent one bank as a primary partner, they should also be allowed to serve non-conflicting [businesses] and/or [offer a] range of services to their customers”

AMIT KUMAR JAIN

WHOLE-TIME DIRECTOR AND COO, FINO
PAYTECH



“We are in the process of launching an innovative insurance savings product that suits our customers through one of our insurance partners. We will probably be the first to provide such an offering”

GANESH NARAYANAN

CEO, CREDITACCESS GRAMEEN

and Assam have acted against MFIs, which created a huge risk for lenders. Events like the pandemic and demonetisation, too, have impacted the sector.

Last March, new microfinance regulations were introduced to standardise rules for all players. The income eligibility for households was increased to ₹3 lakh, expanding the net. This has allowed institutions to serve the middle segment between microfinance and traditional banking, eliminating the rural-urban distinction. Under the new regulations, NBFC-MFIs can have variable pricing for different customers. “We believe that the addressable market is around 170 million households, out of which, 120 million are rural. The industry penetration is around 38 per cent,” says Narayanan.

Experts suggest that microfinance must be scaled up through a credit guarantee scheme. “The entire pool of the existing ₹3.5 lakh crore micro-loan portfolio is unsecured. We are working with the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTC-ME) for a credit guarantee scheme,” says Misra of MFIN. CTGCME is a government-supported initiative to facilitate credit flow to MSMEs.

One big change in this landscape has been introduced by the influx of digital app-based lending platforms and fintech, or financial technology, players. They lend without a physical presence and often get confused with microfinance by local agencies. An MFIN report says more than 60 per cent of digital lending through platforms and mobile apps is to low-income, new-to-credit (NTC) borrowers, which is the microfinance segment as defined by the RBI.

“Lending to such customers using a remote and automated process is also done without adhering to microfinance regulations like household income assessment and repayment capacity checks. The use of surrogate indicators is a poor replacement for in-person interactions and runs the risk of nudging borrowers inadvertently into over-indebtedness and also undermining underwriting,” states MFIN.

BEYOND BANKING

Considering the situation with banking, it isn’t surprising that other products like insurance and mutual funds see little traction. “The commission is not allowed to solicit insurance or MF [products]. Regulators don’t allow the agents to be paid. These are push products,” says a player.

Some suggest that RBI, which holds vast amounts of KYC data on customers, should use this as a common repository for all financial services players. “Our customers are categorised as tiny or basic customers, yet